



CHAPTER 45.

An Act to amend the law relating to income tax in respect of certain emoluments.

[11th November 1943.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) Income tax for the year 1944-45 or any subsequent year of assessment shall be assessed and charged in respect of the emoluments specified in subsection (2) of this section on the amount of those emoluments for the year; and, on the making of any payment of, or on account of, any such emoluments made during the year 1944-45 or any subsequent year of assessment, income tax shall, subject to and in accordance with the regulations made by the Commissioners of Inland Revenue under section two of this Act, be deducted or repaid by the person making the payment, notwithstanding that when the payment is made no assessment has been made in respect of the emoluments.

Basis of charge and method of collection of income tax on certain emoluments.

(2) The said emoluments are—

- (a) any wages or other emoluments arising from any employment by way of manual labour;
- (b) any wages or other emoluments arising from any employment not by way of manual labour, being wages or emoluments which, or the greater part of which, are calculated by reference to the hour, day, week or any period less than a month (at whatever intervals the wages or other emoluments are paid);
- (c) any pension payable to or in respect of a person in connection with a previous employment the wages or emoluments of which were, when he left it, such as are mentioned in paragraphs (a) and (b) of this subsection;

(d) any emoluments arising from any employment if the person in receipt thereof satisfies, as respects the year 1943-44, the conditions as to emoluments specified in Part I of the First Schedule to this Act ;

(e) any pension, if the person in receipt thereof satisfies, as respects the year 1943-44, either the conditions as to emoluments specified in Part I or the conditions as to pensions specified in Part II of that Schedule,

not being pay, pensions or other emoluments payable in respect of service in or with the armed forces of the Crown.

The emoluments specified in this subsection are hereafter in this Act referred to as "emoluments to which this Act applies".

(3) In the case of any person who was in employment on the twentieth day of September, nineteen hundred and forty-three, the wages or other emoluments arising from his employment shall be treated for the purposes of this section as being calculated in the manner prevailing for the month ending with the said twentieth day of September until he permanently ceases to be employed by the employer in question or there is a substantial change in the nature of his employment.

(4) If any question arises whether any emoluments are or are not emoluments to which this Act applies it shall be determined by the Special Commissioners and the provisions of the Income Tax Acts relating to appeals to the Special Commissioners shall, with any necessary modifications, apply in relation to any determination of the said Commissioners under this subsection as if it were the determination of an appeal.

(5) Rule 2 of the Rules applicable to Cases I and II of Schedule D (which provides for the half-yearly assessment of certain weekly wage-earners) shall not have effect as respects tax for the year 1944-45 or any subsequent year of assessment ; and section eleven of the Finance (No. 2) Act, 1940, and the regulations made thereunder, shall not authorise any deduction from emoluments to which this Act applies after the end of the year 1943-44.

3 & 4 Geo. 6.
c. 48.

Regulations
of Com-
missioners
of Inland
Revenue.

2.—(1) The Commissioners of Inland Revenue shall make regulations with respect to the assessment, charge, collection and recovery of income tax in respect of emoluments to which this Act applies, being tax for the year 1944-45 or any subsequent year of assessment, and those regulations may, in particular, include provision—

(a) for requiring any person making any payment of, or on account of, any such emoluments, when he makes the payment, to make a deduction or repayment of tax calculated by reference to tax tables prepared by the Commissioners of Inland Revenue and for rendering

persons who are required to make any such deduction or repayment accountable to, or, as the case may be, entitled to repayment from, those Commissioners ;

- (b) for the production to and inspection by persons authorised by those Commissioners of wages sheets and other documents and records for the purpose of satisfying themselves that tax has been and is being deducted, repaid and accounted for in accordance with the regulations ;
- (c) for the collection and recovery, whether by deduction from emoluments paid in any later year or otherwise, of tax in respect of emoluments to which this Act applies which has not been deducted or otherwise recovered during the year ;
- (d) for the assessment and charge of tax by the surveyor in respect of emoluments to which this Act applies ;
- (e) for appeals with respect to matters arising under the regulations which would not otherwise be the subject of an appeal,

and any such regulations shall have effect notwithstanding anything in the Income Tax Acts :

Provided that the said regulations shall not affect any right of appeal to the General or other Commissioners which a person would have apart from the regulations.

(2) The said tax tables shall be constructed with a view to securing that, so far as possible,—

- (a) the total tax payable in respect of any emoluments for any year of assessment is deducted from the emoluments paid during that year ; and
- (b) the tax deductible or repayable on the occasion of any payment of, or on account of, emoluments is such that the total net tax deducted since the beginning of the year of assessment bears to the total tax payable for the year the same proportion that the part of the year which ends with the date of the payment bears to the whole year.

In this subsection the references to the total tax payable for the year shall be construed as references to the total tax, other than surtax, estimated to be payable for the year in respect of the emoluments, subject to a provisional deduction for allowances and reliefs and subject also, if necessary, to an adjustment for amounts overpaid or remaining unpaid on account of income tax in respect of emoluments to which this Act applies for any previous year (including any year previous to the year 1944-45).

For the purpose of estimating the total tax payable as aforesaid, it may be assumed, in relation to any payment of, or on account

of, emoluments, that the emoluments paid in the part of the year of assessment which ends with the making of the payment will bear to the emoluments for the whole of that year the same proportion that that part of the year bears to the whole year.

(3) If any person fails to comply with any provision of the said regulations requiring him to furnish a return or other information or to give any certificate or to produce wages sheets or other documents or records, he shall be liable to a penalty not exceeding fifty pounds, and after judgment has been given for that penalty, to a further penalty of the like amount for every day during which the failure continues.

(4) All regulations of the Commissioners of Inland Revenue under this section shall be laid before the Commons House of Parliament as soon as may be after the making thereof, and if that House within twenty-eight days from the date on which any such regulations are laid before it resolves that the regulations be annulled, the regulations shall thereupon cease to have effect but without prejudice to anything previously done thereunder or to the making of new regulations.

In reckoning any such period of twenty-eight days as aforesaid, no account shall be taken of any time during which Parliament is dissolved or prorogued or during which the Commons House is adjourned for more than four days.

Transitional
provisions.

3.—(1) The provisions of this section shall have effect as respects any emoluments to which this Act applies which are assessable for the year 1943-44, whether they arise before or after the passing of this Act, other than emoluments of any class which, in relation to tax for the year 1942-43, was generally treated for the purposes of the regulations under section eleven of the Finance (No. 2) Act, 1940, as a class of case where tax was deductible from emoluments otherwise than by virtue of those regulations.

(2) In cases falling within Rule 2 of the Rules applicable to Cases I and II of Schedule D (which provides for the half-yearly assessment of certain weekly wage-earners) no assessments shall be made for any half year within the said year of assessment, but in lieu thereof a single assessment shall be made in respect of the emoluments for the whole year and the said Rule 2 and the other enactments and regulations relating to weekly wage-earners shall, with the necessary modifications, have effect accordingly.

(3) Subject to the provisions of this section, where any assessment is made under subsection (2) of this section, tax equal to ten-twelfths of the tax (other than surtax) payable for the year in respect of the emoluments shall be discharged, and where any assessment is made in respect of emoluments to which the said Rule 2 does not apply, tax equal to seven-twelfths of the tax

(other than surtax) payable for the year in respect of the emoluments shall be discharged; and the provisions of the Second Schedule to this Act shall have effect as to the calculation for the purposes of this subsection of the tax payable in respect of any emoluments, as to the procedure to be adopted in connection with the discharge and as to appeals as to the amount discharged.

(4) Tax shall not be discharged as aforesaid in the case of any emoluments unless the person entitled to the emoluments is at some time during the relevant period in the year 1944-45 in receipt of emoluments to which this Act applies, and if that person is in receipt of such emoluments for a part only of the relevant period, the amount to be discharged shall bear to the full amount which would be discharged apart from the provisions of this subsection the same proportion that the part of the relevant period during which he is in receipt of such emoluments bears to the whole period:

Provided that, in the case of a person who is in receipt of such emoluments for a part only of the relevant period, the said full amount shall be discharged if he dies during that period or during the remainder of that period was not employed or otherwise gainfully occupied.

In this subsection, the expression "the relevant period" means—

(a) where the tax the discharge of which is in question is assessed under subsection (2) of this section, the first ten months of the year 1944-45;

(b) in other cases, the first seven months of the year 1944-45.

(5) Where any tax is discharged under the provisions of this section, the amount, if any, to be credited for the year under section seven of the Finance Act, 1941 (which relates to post-war credits) shall be computed as follows:— 4 & 5 Geo. 6.
c. 30.

(a) the said amount shall first be computed as if the tax discharged had been duly paid;

(b) the tax discharged shall then be deducted.

(6) Where a person enters an employment after the twentieth day of September, nineteen hundred and forty-three, and before the sixth day of April, nineteen hundred and forty-four, and the wages and other emoluments arising to him from that employment are by virtue of paragraph (b) of subsection (2) of section one of this Act, but would not apart from that paragraph be, emoluments to which this Act applies, those wages and other emoluments shall be left out of account for the purposes of subsection (3) of this section if the employment is of a class in which it is not customary for the wages or other emoluments arising therefrom, or the greater part of those wages or emoluments, to be calculated by reference to the hour, day or week, or some other period less than a month.

(7) The power conferred by section eleven of the Finance (No. 2) Act, 1940, to make regulations as to the assessment and collection of tax under Schedule E shall extend to the making of regulations requiring employers and other persons to deduct, during the period beginning with the first day of February, nineteen hundred and forty-four, and ending with the fifth day of April in that year, amounts on account of the tax which will or may become chargeable for the year, notwithstanding that the relevant assessments have not then been made.

**Inter-
pretation.**

4. In this Act except where the context otherwise requires the following expressions have the meanings hereby respectively assigned to them (that is to say) :—

“employment” means an employment the emoluments of which are assessable to income tax under Schedule E ;

11 & 12 Geo. 5.
c. 32.

“pension” means a pension assessable to income tax under Schedule E or, by virtue of section thirty-two of the Finance Act, 1921 (which relates to pensions payable out of certain superannuation funds) under Schedule D ;

“service in or with the armed forces of the Crown” means—

(a) service in the armed forces of the Crown ;

5 & 6 Geo. 6.
c. 4.

(b) in the case of a woman, service in any of the capacities mentioned in the Schedule to the National Service (No. 2) Act, 1941 (which defines, in relation to women, the exemption from the liability to be called up which corresponds to the exemption for men already serving in the armed forces) ;

(c) such other service, if any, in connection with the armed forces of the Crown as may be prescribed by regulations to be made by the Commissioners of Inland Revenue.

**Short title,
construction
and repeal.**

5.—(1) This Act may be cited as the Income Tax (Employments) Act, 1943.

(2) This Act shall be construed as one with the Income Tax Acts.

(3) The enactments set out in the Third Schedule to this Act are hereby repealed to the extent mentioned in the third column of that Schedule except as respects tax for the year 1943-44 or any previous year of assessment :

8 & 9 Geo. 5.
c. 40.

Provided that the repeal, by virtue of this subsection, of subsection (2) of section one hundred and sixty-nine of the Income Tax Act, 1918, shall not affect the operation of section twenty-nine of the Finance Act, 1921, as applied by section thirty of the Finance Act, 1924.

14 & 15 Geo. 5.
c. 21.

SCHEDULES.

FIRST SCHEDULE.

Section 1.

CONDITIONS AS TO EMOLUMENTS AND PENSIONS.

PART I.

Emoluments.

1. A person shall be deemed to satisfy, as respects the year 1943-44, the conditions as to emoluments specified in this Part of this Schedule if and only if—

- (a) he is, at some time during that year, in an employment which is relevant for the purposes of this Part of this Schedule ; and
- (b) the total emoluments received by him for that year from all such employments do not exceed six hundred pounds, any payments for overtime being left out of account :

Provided that if for any part of that year the person in question was not in any employment which is relevant for the purposes of this Part of this Schedule, the said limit of six hundred pounds shall be proportionately reduced.

2. The employments which are relevant for the purposes of this Part of this Schedule are all full-time employments except service in or with the armed forces of the Crown :

Provided that if, during the whole or any part of the year 1943-44, a person is not in any full-time employment but is in part-time employments (other than service in or with the armed forces of the Crown) which together take up his full time, those part-time employments shall, as respects the whole, or, as the case may be, that part, of that year, be deemed to be relevant for the purposes of this Part of this Schedule.

PART II.

Pensions.

1. A person shall be deemed to satisfy, as respects the year 1943-44, the conditions as to pensions specified in this Part of this Schedule if and only if, in the said year, he was in receipt of a pension which is relevant for the purposes of this Part of this Schedule and the total amount of all such pensions received by him for that year does not exceed six hundred pounds :

Provided that if for any part of that year the person in question was not in receipt of any pension which is relevant for the purposes

1ST SCH.
—cont.

of this Part of this Schedule, the said limit of six hundred pounds shall be proportionately reduced.

2. The pensions which are relevant for the purposes of this Part of this Schedule are all pensions except pensions in respect of service in or with the armed forces of the Crown.

Section 3.

SECOND SCHEDULE.

PROVISIONS AS TO DISCHARGE OF TAX FOR 1943-44.

1. For the purposes of subsection (3) of section three of this Act, the tax payable in respect of any emoluments shall be computed as follows :—

- (a) the gross tax payable by the person in question in respect of his earned income shall be ascertained ;
- (b) that gross tax shall be treated as reduced by—
 - (i) the amount of all the reliefs by way of deduction of tax to which he would have been entitled if his earned income had been his only income ; and
 - (ii) any amount of tax which he has, under and in accordance with Rule 19 of the General Rules, deducted on making any annual payment, no account being taken of any annual payment or part of an annual payment which could be made out of income of his other than earned income ;
- (c) where the person has more than one source of earned income, the gross tax in respect of each part of that earned income shall be ascertained, and the reduction provided for by subparagraph (b) of this paragraph shall be treated as allocated among those parts in such manner as, having regard to the provisions of this Act, is most advantageous to him ; and
- (d) the amount so arrived at in the case of any part of the earned income which consists of emoluments to which this Act applies shall be deemed for the purposes of the said subsection (3) to be the tax payable in respect of those emoluments :

Provided that—

- (i) any reduction to be made in respect of earned income relief shall not be treated as going to reduce the tax payable in respect of any income by more than the gross tax on one-tenth of the amount of that income ; and
- (ii) wife's earned income relief shall not be treated as going to reduce the tax payable in respect of any income other than the earned income of the wife.

In this paragraph, the expression " gross tax " means, in relation to any income, income tax in respect of that income at the standard rate ; and the expressions " earned income relief " and " wife's earned income relief " mean respectively the relief provided for by subsection (1) of section fifteen of the Finance Act, 1925, and the relief provided for by subsection (2) of section eighteen of the Finance Act, 1920.

2. Effect shall be given to the discharge by the surveyor and, notwithstanding anything in the Income Tax Acts, effect may be given by him thereto by reducing the amount of tax payable under any assessment, whether in respect of emoluments to which this Act applies or not, or by repayment.

3. Any person who claims that the proper amount of tax has not been discharged in his case in respect of any emoluments may, by notice given to the surveyor at any time before the sixth day of April, nineteen hundred and forty-six, appeal to the General Commissioners or any other Commissioners having jurisdiction to hear an appeal from an assessment in respect of those emoluments, and the provisions of the Income Tax Acts relating to appeals shall, with any necessary modifications, apply to any appeal under this paragraph as if it were an appeal against such an assessment.

THIRD SCHEDULE.

Section 5.

ENACTMENTS REPEALED.

Session and Chapter.	Short Title.	Extent of Repeal.
8 & 9 Geo. 5. c. 40	The Income Tax Act, 1918.	In section two, the words from "except where" to the end of the section; section twenty-two; proviso (i) to subsection (3) of section fifty-nine; subsection (3) of section one hundred and five; section one hundred and thirty-one; in section one hundred and fifty-seven, in paragraph (b) of subsection (2), the words from "and weekly wage-earners" to the end of the paragraph, and subsection (4); subsection (2) of section one hundred and sixty-nine; paragraphs (b) and (c) of section two hundred and thirty-six; in section two hundred and thirty-seven, the definition of "weekly wage-earner"; and Rule 2 of the Rules applicable to Cases I and II of Schedule D.

3RD SCH.
—cont.

Session and Chapter.	Short Title.	Extent of Repeal.
10 & 11 Geo. 5. c. 18.	The Finance Act, 1920.	So much of the Third Schedule as relates to sections twenty-two and two hundred and thirty-six of the Income Tax Act, 1918.
12 & 13 Geo. 5. c. 17.	The Finance Act, 1922.	Subsection (2) of section eighteen and the proviso to subsection (3) of that section.
14 & 15 Geo. 5. c. 21.	The Finance Act, 1924.	In subsection (1) of section thirty, the words "and without prejudice to the provision for recovery of income tax assessed and charged quarterly".
15 & 16 Geo. 5. c. 36.	The Finance Act, 1925.	Section eighteen.
16 & 17 Geo. 5. c. 22.	The Finance Act, 1926.	Section twenty-one.
17 & 18 Geo. 5. c. 10.	The Finance Act, 1927.	In the proviso to subsection (1) of section forty-five, the words from "or (c) in the case of" to the end of the proviso.
4 & 5 Geo. 6. c. 30	The Finance Act, 1941.	Section twenty-three.
5 & 6 Geo. 6. c. 21	The Finance Act, 1942.	Section twenty-four; and in section twenty-six the words "(not being a weekly wage-earner assessed in accordance with Rule 2 of the Rules applicable to Cases I and II of Schedule D)".

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